Indicative price for a 10-year solar PPA (Lusatia, 50 MWp)

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Bottom line. For a 10-year pay-as-produced PPA (2027-2036) the negotiation range is **33.3 to 41.1 EUR/MWh**: from the indicative price a buyer can accept after its risk premium and costs, up to the fair value before risk. At the indicative price the PPA cuts our 95% cash flow at risk from EUR 1.44 m to 0.20 m per year (**–86%**) for about **6.3 EUR/MWh** (EUR 0.35 m per year) against selling at spot.

The price, layer by layer (EUR/MWh, 2027)

Layer	Solar park	Wind park
Forward (assumed 85; average of the scenarios)	85.4	85.4
Shape: output falls in cheap hours	–44.3	–10.6
= Fair price	**41.1**	**74.8**
Buyer's risk premium after a baseload hedge	–5.3	–3.4
Balancing and route to market (assumed)	–1.5	–2.0
Credit and liquidity (assumed)	–1.0	–1.0
= Indicative price	**33.3**	**68.4**

What we keep and what we give away

- **Volume** stays with us: P50 55.1 GWh a year, one year in ten below 51.5 GWh (P90, 31 weather years).
- **Price and shape** go to the buyer. Its premium is mostly profile risk for solar (how deep the midday dip is) and volume risk for wind; the price level it can hedge with forwards.
- Against spot sales we give away the premium and the credit cost (balancing is paid either way).

What would change the price

- Older days represent 2027 (whole 2024-2026 window instead of the last 12 months): **+7.6 EUR/MWh**
- Capture-rate trend ±1 pp per year: **±3.4 EUR/MWh**
- Forward ±10%: **±4.1 EUR/MWh**

The view on solar cannibalisation (which past represents 2027, and the trend) matters more than the risk premium and the costs together.

Recommendations

1. Quote within the range above; do not go below 33.3 EUR/MWh.
2. Keep a negative-price clause out, or price it separately: 25% of the solar output falls in hours with negative prices and would be unpaid.
3. Agree the cannibalisation view with Risk before signing, and for any unsold volume sell about 89% of the average output as Cal base futures: it cuts the merchant cash flow at risk by 81% (solar park).

Method and limits

496 joint scenarios for 2027: 31 ERA5 weather years at the real sites, each with simulated hourly prices that respond to that weather (calibrated on 2024-2026 German day-ahead prices, analog days from 2025-10-01). Fair price = E[Σ q P] / E[Σ q]; premium = 5% shortfall of the buyer's hedged value per MWh; later years by a flat forward and capture rate, discounted at 6%. Limits: the forward is an assumption, the costs are illustrative, the parks produce their potential output (no curtailment), and one market regime is in the data. Published Cal-27 base quotes are higher than the assumed forward: at 113.45 EUR/MWh (2026-08-28) the solar indicative price would be 46.8 instead of 33.3 EUR/MWh. Wind park for comparison: fair 74.8, indicative 68.4 EUR/MWh.